THE DESI TOY BOOM

A POLICY PUSH HELPS INDIA'S TOY SECTOR PICK UP, BUT LACK OF PRECISION ENGINEERING AND HIGH CAPITAL INVESTMENT HAMPER ITS FULL POTENTIAL

By **SONAL KHETARPAL**



TOYS ARE CRUCIAL FOR Kiran Bala, 38, an assistant professor at the Delhi School of Economics, to keep her three children—an eight-year-old daughter and 18-month-old twins—occupied. "As an academic who has to juggle parenting with teaching and self-study, I need toys to keep my kids engaged for long," she says.

Kiran is among the millions of parents driving the growth of India's toy market. The sector, valued at about $1.5 billion (Rs 12,300 crore) in 2022, is projected to double to $3 billion by 2028, at a compound annual growth rate of over 12 per cent. The opportunity could be larger, given that the organised market is just 10 per cent of the overall market, which is populated by unorganised small businesses. It was this turnaround story—how India has transformed from a net importer to a global exporter, and Indian-made toys are now found in markets across the world—that found a proud mention in Prime Minister Narendra Modi's Independence Day speech this year.

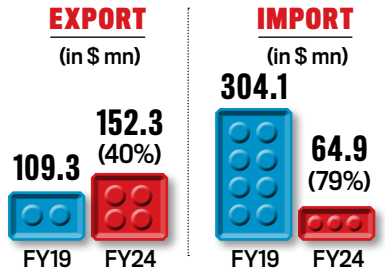
POLICY PUSH

The government has hard-focused on the toy sector to reposition India as a global manufacturing and sourcing hub rather than just a market. This has seen an outright inversion of the export-import equation between FY19 and FY24: raising toy exports by 40 per cent—from $109 million (Rs 896 crore) to $152 million (Rs 1,250 crore)—and whittling imports down by 79 per cent—from $304 million (Rs 2,500 crore) to $65 million (Rs 535 crore)—as per a May report by economic think-tank Global Trade Research Initiative (GTRI).

The impetus has come from several quarters. Until 2019, cheap Chinese toy imports flooded the Indian market. To stanch that deluge, the government increased import duty from 20 per cent to 60 per cent in February 2020 and again to 70 per cent in March 2023, making imports expensive. Thus, China's share in India's toy imports, as GTRI numbers show, dropped from 87 per cent in FY19 to 64 per cent in FY24, while the import pie itself shrank. "From being a net importer of toys until a few years ago, India exports toys,

THE PLAY DOUGH

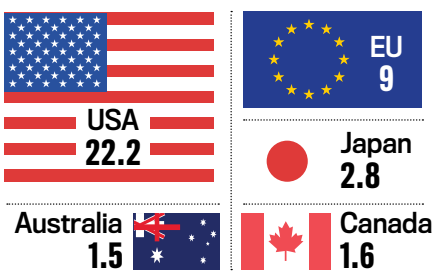
A surge in exports and a decline in imports highlight India's expanding manufacturing prowess



Growth and contraction % in ( )

THE WORLD'S TOP TOY IMPORTERS

FY22 (in $ billion)



Source: Global Trade Research Initiative